

Handle. Once a scallop completes, price declines (usually, to form a handle). It retraces all or a part of the gains made as the scallop developed. Sometimes it begins building another scallop.

In the figure, for example, you can see that the retrace after the first scallop brings price down to the bowl of the next scallop at 14.25. The retrace after the November scallop sees price return to near the prior bowl's low (B).

Buy point. After price finishes declining in the handle (assuming it does retrace only a portion of the scallop), consider buying the stock.

Stop location. [Table 57.7](#) shows various locations for stop placement. Because the pattern can be quite tall, be sure to change the potential loss into a percentage of the current price. If the value is too high, then either move the stop or look for a different chart pattern.

Even ends. In a series of ascending scallops in a single trend, many times the highest scallop in the series will look like a rounded turn or double top with the start and end of the scallop sharing almost the same price. A downward breakout may follow immediately or a trend change will occur soon after.

Scallops in a series. I looked at consecutive scallops in a rising price trend and found that they tended to get narrower and shorter the higher up the price trend they appeared. [Figures 57.1](#) and [57.3](#) show examples of this.

I have seen scallops get wider as they climb, too, so the findings vary from stock to stock. If you see a scallop appear after a long uptrend and it seems *unusually wide* (rare) or *narrow* (more common), the end of the trend may be near. Consider looking elsewhere for a more promising trade. What does *unusually wide or narrow* mean? Use the width values from [Table 57.5](#) as guidance. Since scallops are plentiful, search for them in the stock you intend to trade and in other stocks in the same industry to get a better feel for the typical scallop width and height.

Experience

I traded one ascending scallop in JLG Industries (JLG), so let me tell you about it. I show it in [Figure 57.4](#). The figure looks complicated, so let's tear it apart so you will understand my decisions.